

NOTICE OF STATUTORY EXHAUSTION AND CDSS DEFAULT

TO: California Department of Social Services State Hearings Division

CASE NAME: HERNANDEZ, NICOLAS

CASE NUMBER: SHN-██████████96

DATE OF FILING: March 15, 2026

STATUTORY DUE DATE: June 15, 2026

I, Nicolas Hernandez, hereby submit this formal Notice of Statutory Exhaustion and CDSS Default to the State Hearings Division.

Pursuant to federal regulation **42 CFR Section 431.244** and California state mandate **Manual of Policies and Procedures Section 22-060**, the State is strictly required to hold a hearing and issue a final administrative decision within ninety days from the date the State Hearing request was filed.

I filed this State Hearing request on March 15, 2026. The mandatory ninety-day regulatory deadline expired yesterday, on June 15, 2026. As of today, June 16, 2026, no hearing has been scheduled, no date has been set, and my case remains in PENDING SCHEDULING status. The CDSS State Hearings Division is in direct, ongoing statutory default.

The underlying dispute concerns L.A. Care Health Plan's unlawful withholding of action and failure to process my medical and financial reimbursement under the Conlan Claim framework for Claim C-██████████T2. By keeping my claim in an indefinite administrative purgatory, neither approving the reimbursement nor issuing a formal written denial, L.A. Care has employed a bad-faith delay tactic designed to evade regulatory accountability and block my access to formal administrative remedies.

The consequences of this administrative silence are no longer hypothetical. Because L.A. Care has persistently withheld my mandated reimbursement, it has become financially impossible for me to pay my treatment providers. As a direct result, I was forced out of my active, medically supervised benzodiazepine tapering program.

Recognizing the extreme, life-threatening danger of sudden medication cessation, my treating Nurse Practitioner, the author of my medical records on file, issued a final, twenty-eight-day emergency lifeline prescription of Diazepam on June 8, 2026. While I normally receive only seven days of medication at a time, my provider took this extraordinary step because she was fully aware that L.A. Care's default had cut off my access to care, and that finding an in-network provider would be nearly impossible.

This emergency supply will run out on July 6, 2026. On that date, I face a complete, unmonitored, and abrupt cessation of this life-critical medication. As documented in my medical records, sudden cessation carries a severe, medically established risk of life-threatening seizures and severe central nervous system complications.

By failing to schedule or adjudicate my State Hearing within the mandatory ninety-day window, the State Hearings Division has allowed this bad-faith administrative purgatory to persist, forcing me onto a clinical countdown that expires on July 6, 2026. The

administrative remedy has collapsed, leaving me without a functional administrative channel to protect my life.

Due to the State's regulatory default and the active physical threat to my life, I demand the immediate scheduling of my State Hearing. I also demand the immediate intervention of a hearing supervisor to address this emergency.

This filing serves as my formal documentation of the collapse of the state administrative process, establishing that I have fully exhausted all available administrative channels prior to pursuing further judicial remedies.

Dated: June 16, 2026

Submitted by: Nicolas Hernandez